Annual Operating Plan 2027

Executive prioritisation approach - final lever, evidence and scenario rules

Recommendation. Use five visible funding levers in a fixed sequence: LFR, Sustain Engineering, Hygiene, Carryover and ROI-Based Portfolio. Fund whole initiatives in priority order with a 5% automatic tolerance. BU and EW conference inclusions sit on top of the prioritized result; they may leave the final scenario over budget, with the variance shown rather than blocked.

Source snapshot

279.595 M€	509	34.517 M€	12.333 M€
Requested investment	Demand-evidence rows	LFR baseline	Sustain Engineering base

The source contains 111.699 M€ enterprise-wide and 167.896 M€ business-led demand. All amounts above reconcile directly to the two source sheets. The source does not contain an approved portfolio envelope.

Funding order

Order	Portfolio treatment	Visible control
1. LFR	P1 Immediate, P2 Scheduled and approved exceptions EW-11, EW-65 and EW-71. The exceptions add Group Functions 7.630 M€, Supply Chain 4.160 M€ and Finance 6.225 M€.	Allocation % with basis switch: bucket demand or Total AOP.
2. Sustain Engineering	Only requests explicitly classified Change & Sustain in the source, after removing LFR. Do not include all requests below 0.200 M€ or infer from names.	Allocation % with the same basis switch.
3. Hygiene	Approved source Category values: decommissioning/replatforming, Continuous Improvement variants, and Upgrades & Enhancements, after earlier stages.	Allocation % with the same basis switch.
4. Carryover	Remaining carryover requires numeric Quantified Benefits and must meet the configured benefit/request threshold. Past spend alone does not qualify.	ROI threshold only: default 2x; 1x to 5x+ in 0.5x steps.
5. ROI-Based Portfolio	All remaining initiatives with numeric benefits compete here, including AI unless an earlier stage applies. Rank with Merit Score.	Automatically receives all remaining AOP.

Allocation integrity

LFR is 34.517 M€ and the non-overlapping Sustain Engineering base is 12.333 M€. Each request receives one primary stage and one full-request allocation. Automatic selection may use up to +5% to fit whole initiatives; conference inclusions do not displace priorities and may exceed Total AOP. Show the final MEUR and percentage variance.

Decision rules and model controls

Use source decisions, concise merit evidence and end-to-end traceability

Decision evidence

Source outcome	Requests	Requested	Model treatment
Healthy - rank	183	108.154 M€	May compete under its applicable stage and evidence rules.
P1 Immediate	30	15.402 M€	LFR, first sequence.
P2 Scheduled	3	1.100 M€	LFR, second sequence.
Contain - conditions	12	3.250 M€	May compete only with its condition retained or reviewed.
MUST-DO priority TBD	1	0.500 M€	Hold pending a reviewed priority.
Blank	280	151.189 M€	Unassessed; keep visible and do not infer Healthy.

The source Decision band is populated on 229 rows covering 128.406 M€: 215 Healthy at 124.406 M€ and 14 Contain at 4.000 M€. The model uses these bands and the Overall AOP decision; it does not recalculate or feature the nine underlying waste dimensions.

Merit score

Dimension	Points	Evidence and rule
Submitted benefit / request	50	Use the submitted lifetime benefit and requested 2027 investment. Claims above 5x require review before automatic benefit-led funding.
Submitted priority	25	Must Do 25; Must Have 18; Deprioritised 5; other or blank 0. Priority alone does not create LFR status.
Captured Consequence	15	Use only Impact and Cost of Not Doing, Problem Statement and Scope. Preserve the supporting source passages.
Decision band	10	Healthy 10; Contain 6; blank or other 0. Overall AOP conditions still govern eligibility.

Captured Consequence and configuration

0	No usable consequence in the three source fields.
5	A general consequence, problem or scope is stated, but the harm of not proceeding is unclear.
10	An affected activity or stakeholder and an explicit operational, compliance, customer, financial or delivery harm are stated.
15	The 10-point evidence also states a quantified impact or enterprise, global, multi-region or company-wide reach.

At least one Captured Consequence field is populated on 425 rows covering 245.515 M€; all three are populated on 198 rows covering 117.953 M€. Missing evidence receives no invented points. Minimum Merit Score remains in collapsed Advanced configuration; it gates only the ROI pool and is not a primary business lever.

Decision workflow. Reserve LFR → fund Sustain Engineering → reserve Hygiene → reserve eligible Carryover → allocate remaining AOP to ROI → rank by Merit → publish funded/unfunded rationale → add BU/EW conference choices → freeze the final version. Refresh creates a new version. The Excel model and dashboard use the same 509 normalized records, source hash and allocation logic so each outcome traces to its original sheet and row.